14. Income Taxes

(a) Provision for Income Taxes

The provision for income taxes consists of the following (in millions):

Years Ended	July 31, 2010	July 25, 2009	July 26, 2008
Federal:			
Current	**$ 1,469**	$ 1,615	$ 2,384
Deferred	**(435)**	(397)	(693)
	1,034	1,218	1,691
State:			
Current	**186**	132	173
Deferred	**—**	(30)	(62)
	186	102	111
Foreign:			
Current	**470**	386	418
Deferred	**(42)**	(147)	(17)
	428	239	401
Total	**$ 1,648**	$ 1,559	$ 2,203

Income before provision for income taxes consists of the following (in millions):

Years Ended	July 31, 2010	July 25, 2009	July 26, 2008
United States	**$ 1,102**	$ 1,650	$ 3,044
International	**8,313**	6,043	7,211
Total	**$ 9,415**	$ 7,693	$ 10,255

The items accounting for the difference between income taxes computed at the federal statutory rate and the provision for income taxes consists of the following:

Years Ended	July 31, 2010	July 25, 2009	July 26, 2008
Federal statutory rate	**35.0%**	35.0%	35.0%
Effect of:			
State taxes, net of federal tax benefit	**1.4**	1.3	0.9
Foreign income at other than U.S. rates	**(19.3)**	(18.9)	(16.1)
Tax credits	**(0.5)**	(2.4)	(0.8)
Tax audit settlement	**—**	—	(1.6)
Transfer pricing adjustment related to share-based compensation	**(1.7)**	2.3	—
Nondeductible compensation	**2.0**	2.6	1.8
International realignment	**—**	—	2.2
Other, net	**0.6**	0.4	0.1
Total	**17.5%**	20.3%	21.5%

During fiscal 2010, the U.S. Court of Appeals for the Ninth Circuit (the “Ninth Circuit”) withdrew its prior holding and reaffirmed the 2005 U.S. Tax Court ruling in *Xilinx, Inc. v. Commissioner*. This final decision impacted the tax treatment of share-based compensation expenses for the purpose of determining intangible development costs under a company’s research and development cost sharing arrangement. While the Company was not a named party to the case, this decision resulted in a change in the Company’s tax benefits recognized in its financial statements. As a result of the decision, the Company recognized tax

benefits of $158 million as a reduction to the provision for income taxes, or an impact of 1.7 percentage points as presented under the caption of “Transfer pricing adjustment related to share-based compensation” in the preceding table. In addition, an increase was recorded to additional paid-in capital for $566 million. The fiscal 2010 tax benefits above effectively reverse the related charges that the Company incurred during fiscal 2009.

The tax provision in fiscal 2009 included a net tax benefit of $106 million, related to the R&D tax credit for fiscal 2008, as a result of the Tax Extenders and Alternative Minimum Tax Relief Act of 2008 which reinstated the U.S. federal R&D tax credit retroactive to January 1, 2008. The tax provision in fiscal 2008 included tax expense of $229 million related to the intercompany realignment of certain of the Company’s foreign operations and a net tax benefit of $162 million related to a settlement of certain tax matters with the IRS.

U.S. income taxes and foreign withholding taxes associated with the repatriation of earnings of foreign subsidiaries were not provided for on a cumulative total of $31.6 billion of undistributed earnings for certain foreign subsidiaries as of the end of fiscal 2010. The Company intends to reinvest these earnings indefinitely in its foreign subsidiaries. If these earnings were distributed to the United States in the form of dividends or otherwise, or if the shares of the relevant foreign subsidiaries were sold or otherwise transferred, the Company would be subject to additional U.S. income taxes (subject to an adjustment for foreign tax credits) and foreign withholding taxes. Determination of the amount of unrecognized deferred income tax liability related to these earnings is not practicable.

As a result of certain employment and capital investment actions, the Company’s income in certain foreign countries is subject to reduced tax rates and in some cases is wholly exempt from taxes. A portion of these tax incentives will expire at the end of fiscal 2015 and the majority of the remaining balance will expire at the end of fiscal 2025. As of the end of the respective fiscal years, the gross income tax benefits attributable to these tax incentives were estimated to be $1.7 billion ($0.30 per diluted share) in fiscal 2010, $1.3 billion ($0.22 per diluted share) in fiscal 2009, and $1.6 billion ($0.26 per diluted share) in fiscal 2008. These gross income tax benefits for the respective years were partially offset by accruals of U.S. income taxes on undistributed earnings.

(b) Unrecognized Tax Benefits

The aggregate changes in the balance of gross unrecognized tax benefits were as follows (in millions):

Years Ended	July 31, 2010	July 25, 2009	July 26, 2008
Beginning balance[1]	**$ 2,816**	$ 2,505	$ 3,331
Additions based on tax positions related to the current year	**246**	190	488
Additions for tax positions of prior years	**60**	307	147
Reductions for tax positions of prior years	**(250)**	(17)	(466)
Settlements	**(140)**	(109)	(951)
Lapse of statute of limitations	**(55)**	(60)	(44)
Ending Balance	**$ 2,677**	$ 2,816	$ 2,505

[1]The beginning balance of the unrecognized tax benefits for the year ended July 26, 2008 included a cumulative effect of a change in accounting principle for $451 million.

As of July 31, 2010, $2.3 billion of the unrecognized tax benefits would affect the effective tax rate if realized. During fiscal 2010, the Company recognized $167 million of net interest income and $5 million of penalties. During 2009, the Company recognized $158 million of net interest expense and $5 million of penalties. The Company's total accrual for interest and penalties was $167 million and $329 million as of the end of fiscal 2010 and 2009, respectively. The Company is no longer subject to U.S. federal income tax audit for returns covering tax years through fiscal 2001. With limited exceptions, the Company is no longer subject to state and local or foreign income tax audits for returns covering tax years through fiscal 1997.

During fiscal 2010, the Ninth Circuit withdrew its prior holding and reaffirmed the 2005 U.S. Tax Court ruling in *Xilinx, Inc. v. Commissioner*. As a result of this final decision, the Company decreased the amount of gross unrecognized tax benefits by approximately $220 million and decreased the amount of accrued interest by $218 million.

During fiscal 2009, the Company increased the amount of unrecognized tax benefits by approximately $214 million and increased the amount of accrued interest by $197 million as a result of the Ninth Circuit's initial decision.

During fiscal 2008, the Company and the IRS agreed to a settlement with respect to certain tax issues related to U.S. income inclusions arising from the Company's international operations for fiscal years ended July 27, 2002 through July 29, 2006. As a result of the settlement, the Company reduced the amount of gross unrecognized tax benefits by approximately $1.0 billion. The Company also reduced the amount of accrued interest by $39 million. In addition, the IRS has proposed other adjustments that are not covered under the settlement agreement related to fiscal years ended July 27, 2002 through July 31, 2004. The Company timely filed a protest with IRS Appeals on these proposed adjustments. The Company believes that adequate amounts have been reserved for any adjustments that may ultimately result from these examinations.

Although timing of the resolution of audits is highly uncertain, the Company does not believe it is reasonably possible that the total amount of unrecognized tax benefits as of July 31, 2010 will materially change in the next 12 months.

(c) Deferred Tax Assets and Liabilities

The following table presents the breakdown between current and noncurrent net deferred tax assets (in millions):

	July 31, 2010	July 25, 2009
Deferred tax assets—current	**$ 2,126**	$ 2,320
Deferred tax liabilities—current	**(87)**	(12)
Deferred tax assets—noncurrent	**2,079**	2,122
Deferred tax liabilities—noncurrent	**(276)**	(57)
Total net deferred tax assets	**$ 3,842**	$ 4,373

The components of the deferred tax assets and liabilities are as follows (in millions):

	July 31, 2010	July 25, 2009
ASSETS		
Allowance for doubtful accounts and returns	**$ 248**	$ 300
Sales-type and direct-financing leases	**224**	226
Inventory write-downs and capitalization	**176**	238
Investment provisions	**329**	333
IPR&D, goodwill, and purchased intangible assets	**191**	222
Deferred revenue	**1,752**	1,475
Credits and net operating loss carryforwards	**752**	817
Share-based compensation expense	**970**	809
Accrued compensation	**339**	405
Other	**517**	600
Gross deferred tax assets	**5,498**	5,425
Valuation allowance	**(76)**	(66)
Total deferred tax assets	**5,422**	5,359
LIABILITIES		
Purchased intangible assets	**(1,224)**	(639)
Depreciation	**(120)**	(288)
Unrealized gains on investments	**(185)**	(12)
Other	**(51)**	(47)
Total deferred tax liabilities	**(1,580)**	(986)
Total net deferred tax assets	**$ 3,842**	$ 4,373

As of July 31, 2010, the Company’s federal, state, and foreign net operating loss carryforwards for income tax purposes were $325 million, $1.6 billion, and $252 million, respectively. If not utilized, the federal net operating loss carryforwards will begin to expire in fiscal 2019, the state net operating loss carryforwards will begin to expire in fiscal 2011, and the foreign net operating loss carryforwards will begin to expire in fiscal 2012. As of July 31, 2010, the Company’s federal and state tax credit carryforwards for income tax purposes were approximately $8 million and $584 million, respectively. If not utilized, the federal and state tax credit carryforwards will begin to expire in fiscal 2011.